
❖ Horizon Asset Management, Inc. ❖

3rd Quarter 2009

Commentary

3rd Quarter Market Commentary

By Steven Bregman

Those who know us know that we practice equity yield curve investing – taking advantage in the present of the discount others offer when value realization for a security will not occur for a few or even several years. The very nature of what we do is to try to assess not what the reality is for a company today, but what it will be in the future. The events and price changes of the past year, though, have incited the instinctive urge to action, sometimes extreme action.

Perhaps we should start, then, for some perspective, with a thumbnail review of the first two quarters of the year, since with this 3rd Quarter Commentary we seem to have come most of the way around the circle in merely three calendar quarters. The 1st and 2nd Quarter Commentaries addressed at some length the primary questions of the day, which were:

- A. 1st Quarter: extreme fear and panic early in the year that the economy and financial markets would continue to descend toward zero -- which they did until early March, when this finally gave way to acceptance that they will not.
- B. 2nd Quarter: skepticism in the middle of the year that stock prices can rise much higher (if at all) -- to acceptance that they can, and now in the Fall to
- C. 3rd Quarter: Skepticism that the economy and securities prices, after rising significantly, can progress any farther at all.

So here we are, at the 3rd Quarterly Commentary. This is being written, of course, during the 4th Quarter. Looking back at 2009 thus far (just over 9 months in total) shows an emotional investing experience characterized by extreme opinions and readiness to take extreme action. And all of this for an asset class allocation decision and investment strategy that are inherently long-term in nature.

So now that we are in the present again, I will try to respond to certain comments and questions we've been receiving lately.

Government Support

I would first reiterate that valuations remain at historic lows and reflect deep uncertainty about whether “normalcy”, to use a presidential phrase, will return. Given the extraordinary discounts that persist, the mere return of normalcy is all that should be required for the provision of extraordinary returns.

One source of support for a return to normalcy is the \$782 billion stimulus package. A question is: has this package, along with its influence upon the economy, been largely expended?

The answer requires some understanding that a budget or spending bill structured by the US Congress is very different than actual spending. There is a rule system and process by which a dollar gets from one end to the other.

Once an agency obtains obligational authority by working with the Congressional Budget Office, the Executive Office of Management and Budget, and various Congressional Committees, where appropriate, it is obligated to spend a certain amount of money.

It then formally becomes part of the Government budget. Even so, this does not necessarily mean that any money has been disbursed, because there is a further difference between obligational authority and outlay.

As of October 7th, for instance, of the \$782 billion stimulus package, \$256.3 billion was available to be disbursed. This does not mean that it was, in fact, disbursed.

Anyone may find these figures on the government website, which is impressively comprehensive. The internet address is www.recovery.gov. This site includes detail as fine as individual projects by zip code and recipient, such as the \$150,000 loan to Roof Solutions of Omaha, in Chickasha, Oklahoma, under a program to aid small businesses unable to obtain private market credit.

For its part, disbursement does not mean that it has influenced the economy. Much of the implementation of the stimulus package is left to the states. If a disbursement is made to a given Federal department, it is not unusual for that money to be subsequently disbursed to a comparable State-level department. Such a transfer has yet to become a subset statistic of a GDP calculation.

For instance, the Department of Housing & Urban Development is engaged in many activities related to building new housing, such as low-income housing units. Housing construction has a high multiplier effect upon economic activity and jobs, not merely for the direct construction jobs, but for the related commercial activities required for any such project.

HUD currently has obligational authority of \$11.3 billion, yet it has disbursed only \$1.5 billion. This is essentially a trivial sum in the context of the national economy, and much of that has probably not been disbursed to actual contractors for specific projects.

Only a few months ago, as of the end of May, HUD had obligational authority of only \$5.0 billion, not \$11.3 billion (one will note that obligational authority can rise as the procedural and political underpinnings for it are worked through) and had disbursed only \$0.5 billion, not \$1.5 billion. Therefore, even of the amounts disbursed to date, two thirds occurred only during the past few months.

Returning to the total \$256.3 billion of the Stimulus Package available for disbursement, only \$110.7 billion was, so to speak, ‘spent’ as of October 7th. This amounts to only 14.2% of the total. Some 4% had been spent during the prior month, and 10% the month before. As a result, very little of the stimulus package could possibly have influenced the economic numbers available to the general public.

Consequently, it is not reasonable to evaluate the program on its ability or inability to stimulate the economy, since so little has been disbursed to date.

It is perhaps only coincidence, not by political design, that the bulk of the stimulus package spending – there is currently at least \$672 billion remaining – is not likely to be spent until the year

leading up to, and the year of, the next presidential election campaign. The program ends in February 2012. Is that not an interesting time frame?

Unemployment

Why does unemployment remain so high while bond and stock prices rise so smartly? How can the economy recover if unemployment is so high and, indeed, rising? This question is asked by financial journalists, and I hear it almost daily. In one sense, the confusion is correct, since the question is backwards.

This question presupposes that consumers are the critical linchpin that spends the economy into recovery and, therefore, since so many consumers are unemployed, the economy cannot revive.

To review the more realistic order of events:

- A year ago the capital markets of the world ceased to function. It required six months of enormous action on the part of the world's major governments merely to get them started again, and even so at a low initial level.
- By that point, all manner of existing projects had been halted, and those in planning phase never started.
- Then, additional time was required before private capital began to be raised.
- Yet more time is required for disrupted or new projects to be organized, and so forth and so on. This is all normal.

Open the capital markets, and it all works in reverse. That is why unemployment is a lagging indicator, not the canary in the coal mine. The conventional belief is that workers need to have jobs in order to stimulate the economy. The reality is the other way around – capital markets must function first so that the workers who are the consumers can be employed. It doesn't begin with hiring, it ends with hiring.

Build America Bonds

In that regard, and with reference to the stimulus package, one should note one of the high-multiplier tools being employed: the Build America Bonds program, which came upon the heels of the challenge that municipalities faced in raising capital beginning in 2007.

Under this program, the Federal Government will pay 35% of a municipality's interest cost if it issues taxable bonds for capital projects. The taxable bonds, paying a higher rate of interest, become attractive to a new set of investors, such as pension funds.

This program produces a very high GDP impact for the government funds spent. To use an actual example, this spring, the Utah Transit Authority, which is rated AAA, sold \$261.4 million of 5.94 percent Build America bonds maturing in 30 years. Let's call it 6%. That is a sizable project that must involve not only construction workers, but attorneys, engineers, supply companies, etc., etc.

However, the Federal Government is not expending \$261 million from the Stimulus Program to help catalyze this project. The amount that will show up in the budget is the 2% points of interest on the \$261 million, or \$5.2 million per year.

Ultimately, 30 years of such payments will add to \$156 million, but in reality it is a far smaller figure. For one, the present value, if one adjusts for inflation of, say 3%, is more like \$102 million. So if you believe in inflation, I suppose that is a good thing.

Then, some of those purchasers of that Utah Transit Authority bond must pay income taxes on that income. The government is going to get some of that back. But in the here and now, the government is expending several million dollars to help initiate hundreds of millions of dollars of economic activity.

Inflation

A similar question to the unemployment question arises about inflation. It is noted that commodity prices are higher. Can oil prices be sustained at \$70 a barrel? Earlier this year when oil was \$40 a barrel, we were asked how the Canadian oil sands companies could stay in business with such a low price. Which question should we answer?

We acquired shares of these companies with a multi-year, indeed multi-decade, time horizon in mind. In any event, gold prices appear to be high as well. What about inflation in general?

The question assumes that inflation derives from a rise in prices. If consumers, though, suffer from excessive unemployment and cannot pay higher prices for such items of consumption as dinner(s) out or Hellman's mayonnaise, they will purchase less, or substitute (generic brands), or otherwise alter their habits.

Gasoline prices might rise, which would further limit the capacity to spend on other items, but a sustained generalized inflation requires higher consumer incomes. We don't observe that at the moment.

We have, though, attempted to prepare for that possibility, and this began quite some time ago, so the portfolio is well represented by certain inflation beneficiaries. The first and most obvious of these:

- If we tally the mining companies (most notably Anglo-American), the low-cost, long-lived hydrocarbon reserve companies (including CNOOC Ltd., Gazprom, Encana, Imperial Oil), MasterCard (which derives fees based upon price as well as transaction fees), Brookfield Asset Management (which purchases long-term inflation beneficiary hard assets such as timberland, real estate and electricity transmission grids), and Vornado in real estate, then roughly 26% of the portfolio is so invested.
- Then there are the China-based investments. When U.S. investors worry about the impact of the Federal budget deficit and loose money policy, they might be anticipating the abandonment by foreign investors of our Treasury market and the resultant higher interest rates, and the inflationary impact of a decline in the value of the dollar.

The question then becomes: Decline against which other currency? Is it not an interesting change from historical experience that during this global liquidity crisis, the emerging market nations did not require assistance from the developed nations? Indeed, India and China began to recover before the U.S. China has enormous currency reserves, its currency is massively undervalued relative to the dollar, and its growth rate is multiples that of the U.S.

So, if we were to add the China- and India-focused companies to the conventional inflation beneficiaries, then the portfolio has over 40% allocated toward some of the potential vectors of inflation.

International

As to international investments overall, there are two figures. Non-North American companies amount to about 32% of the portfolio.

This is misleading, though. For instance, Philip Morris International is a U.S. company that derives all of its revenues from outside the U.S. MasterCard derives 55% of its revenues from outside the U.S. If one makes that adjustment for merely four of the companies in the portfolio with large non-North American sales activity, then the International proportion of the portfolio, by an operating activity measure, approaches 40%.

The Press and Editorialized Facts

I believe that the manner in which the financial press often presents isolated facts to forward a decided point of view, in a way that distorts reality, when it presumptively is merely reporting objectively, misleads investors at every extreme.

Following are two articles from the past week – they are not egregious in this regard, I merely happened to notice them. They are but two among thousands, which add to the impression of failure and fear among investors who rely upon the financial media for a picture of the business world.

“Commercial Paper Isn’t As Healthy As It Seems” was the headline for this full column article from one of the dominant newspaper business sections. Here is a quote from the article:

“The recent run-up of commercial paper outstanding isn’t necessarily the sign of optimism that it first appears to be.”

Strangely, given that message, the article does confirm that the U.S. CP market increased for 8 consecutive weeks and is 17% higher than its multi-year low in July.

It does mention that this market froze in 2008. That would suggest that the recent change is --- positive?

It does say that some slightly weaker European banks have now been able to borrow dollars in this market. Well, that seems positive. But it further states that this market is still “well below” its peak of July 2007.

Well, yes. It most surely must be.

Perhaps it's just my sunny disposition, but I found those figures to be quite encouraging. However, the message to us all is "watch out". And I think that message has been successful, at least with regard to the general public. Private investors, I can tell you, are committing capital right and left in almost every form of asset.

"Closed-End Funds Still Feel the Pinch – Auction-Rate Woes Crimp New Offerings" was the headline for another full-column article. Here is a quote:

"...the Auction Rate Preferred process is still 'broken' and the lingering problem has, in many ways, held back growth in the industry"

Elsewhere in the article, we learn that BlackRock has redeemed \$2.1 billion of the \$8.2 billion in ARP securities issued by its municipal funds, and \$1.1 billion of the \$1.6 billion issued by its taxable funds.

We learn that Eaton Vance had redeemed \$3.8 billion of \$5 billion as of year-end 2008, but that further progress has been "slowed".

We learn that Nuveen plans to have all of its taxable funds ARPs refinanced by the end of last week, although it still has \$8.7 billion of other ARP shares outstanding.

Sounds like great progress is being made. It must just be my sunny disposition.

Elsewhere on that same page was a small article, only about 2 column inches. The headline reads **"ETF Assets Expand: Record \$695 billion"**.

That was the headline. Within this short article, it indicated that the increase was \$33.6 billion and that that represented a 5.1% increase. What it did not say was that if one were to multiply these monthly figures by 12 (annualize them), the annual increase would be \$400 billion or 61%.

That was not in the headline. So we see that the headline for the positive article was a mere statement of fact, a number. Quite something. Quite a short article.

At the moment, it seems, no news is good news – or, more accurately put, good news is no news.

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